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T AROUND NOON ON A pleasant day this February, a harried executive of a mall in Amritsar called his CEO. Much as he tried to hold his emotions together, the situation got the better of him. Standing in front of him was a team from Reliance Projects & Property Management Services, a part of the Mukesh Ambani-controlled Reliance conglomerate, who, by contrast,

was composed but also displayed some level of urgency to wrap up some paperwork.

“They were holding the termination letter and also a new agreement letter,” narrates the CEO, who was pulled out of a meeting by his team member. The offer was quite irresistible—all the outstanding rental payments due from Future Retail, a Kishore Biyani-promoted company, would be cleared in a couple of days and just a formal sign-off was needed. The mall owner had a new tenant in the form of Reliance.

“We have never seen anything move so quickly. It was a little strange to see a pre-printed letter with our name,” he says in a voice that was still incredulous. It marked a momentous transformation when Reliance Projects & Property Management Services swiftly took complete charge of several stores that once housed Big Bazaar, the chain that was considered the destination for India’s large middle class.

The development took place right under the nose of Seattle-based e-commerce giant Amazon, which is locked in an intense legal battle to acquire Future Retail. The deal now looked set to slip away. The nimble-footed Reliance had executed a smart strategy, leaving many people in the business stunned in disbelief. It went as far as renaming a substantial part of Big Bazaar outlets to Smart Bazaar (see photograph), and took complete charge of the business. As the way ahead looks challenging for Amazon, the story is really about Reliance’s audacity in doing what it did.

How was it done?

For all the talk now relating to the speed of execution in assuming charge of Future Retail’s 835 stores across formats (Big Bazaar, FBB, Easyday and Heritage), the fact is Reliance made its move at least 12 months ago. How

Amazon was not aware of this and chose to react as late as March 15 is inexplicable. It was August 2020 when Reliance Retail agreed to buy out the wholesale, retail and logistics businesses of Future Group in a ₹24,713-crore deal. It was a shot in the arm for the seller, which was swimming in a pool of high debt. The rub was that Amazon, exactly a year ago, had picked up a 49 per cent stake in Future Coupons, giving it an indirect 4.81 per cent holding in Future Retail Limited (FRL), Biyani’s crown jewel—this transaction is said to have given them any right of first refusal over acquiring Future Retail. Amazon, quite expectedly, cried foul at the Reliance-Future deal and from that point, everything went legal (see *The Story So Far*) and has remained so.

Emails sent to Reliance, Future Group and Amazon India with a detailed set of questions remained unanswered till this article went to press.

A senior retail industry official, who has worked at Future, is clear that Reliance had decided to move right after the Singapore International Arbitration Centre (SIAC) halted its deal with Future in October 2020. “It was a strategy that was well planned out,” he insists. Unknown to most people, the seeds were sown as early as November 2020, a month after the SIAC ruling, when Reliance took charge of the warehouses Future owned. “It is shocking that Amazon did not see this coming.

Anyone familiar with the industry was clued into this,” says the official, adding that the mistake Amazon made was that it spent all its time and might taking on FRL. “The real opponent was Reliance and they had no idea whatsoever. It was just left wide open to make a smart move.”

Reliance did exactly that, and the stores it chose to pick up accounted for a handy 55-60 per cent of FRL’s revenue. Many of the Big Bazaar outlets now bear the Smart Bazaar name with the Reliance logo—the name chosen is in line with Reliance Smart (grocery retail chain) and Smart Point (neighbourhood small format store). Meanwhile, in a communique to the stock exchanges on March 9, FRL confirmed the receipt of termination notices from Reliance. However, there was no news from Amazon till March 15, when it released advertisements in publications saying “these actions have been done in a clandestine manner by playing a fraud on the constitutional courts in India, the Arbitral Tribunal and Indian statutory authorities/



“Given that Reliance is not a party in the litigation between Future Retail and Amazon, it is unclear whether a court will grant such relief. Future has maintained that it has not transferred the leases. Rather, the leases have been taken over”

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